

loans, alongside three-year* compounded annual growth rate (CAGR) in loans; YoY growth in borrowings, alongside three-year* CAGR in borrowings and YoY growth in operating profit, alongside three-year* CAGR in operating profit.

**Two years for Shriram Finance Limited and Piramal Finance Limited*

Size: There were two sub-parameters, which included size of operating profits and size of

gross loan balance as on March 31, 2025; impairment on loans to gross loans ratio: impairment on loans debited to the statement of profit and loss including loans written off as bad debts (net of recoveries) during the year ended March 31, 2025 as percentage of gross loan balance as at March 31, 2025; gross Stage-2 loan ratio: gross Stage-2 loan balance as a percentage of gross loan balance as at March 31, 2025; Secured loans to total loans: Secured gross loans to total gross

year; amount involved in frauds reported during the year as required to be disclosed by the Master Direction - Monitoring of Frauds in NBFCs (Reserve Bank) Directions, 2016 issued by RBI*.

Liability management: Diversified funding mix; Debt-equity ratio: total of debt securities, deposits, borrowings and subordinated liabilities as a percentage of total equity share capital and other equity as on March 31, 2025.

Capital adequacy and liquidity coverage: Capital adequacy ratio: Capital-to-risk weighted assets ratio for FY25; Tier I capital: total of equity capital and disclosed reserves; liquidity coverage ratio: ratio of HQLA to total net cash outflows over the following 30 calendar days.

Final scoring and rating

A score was assigned for each of the 29 sub-parameters for upper layer NBFCs and 28 sub-parameters for HFCs, based on rank, which were multiplied by the parameter's weight, and then aggregated.

QUALITATIVE BANK INSTITUTIONAL AWARDS

Four qualitative awards recognised the strategies undertaken in areas of innovation, human capital excellence, emerging tech & AI, and social impact.

Best Bank in Innovation:

Banks had to describe their innovation initiatives across five critical focus areas of customer experience, product innovation, business model, service delivery, and digital adoption. Every initiative was evaluated and ranked based on four key parameters including areas of impact, uniqueness of solution, adoption of solution, and impact created by the initiative.

Non-banking financial companies were judged on three parameters—growth, size, strength

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the balance sheet as on March 31, 2025.

Strength: There were five overarching sub-parameters, each with further sub-divisions as set out below:

Quality of assets: Increase in gross Stage-3 loans ratio: Additions to gross Stage-3 loans during the year as percentage of the average gross loans (i.e. average of closing balance of FY24 and FY25); PCR: provisioning as on March 31, 2025 for Stage-3 loans as a percentage of gross Stage-3 loans as on March 31, 2025; net Stage-3 loans as a ratio of net loans: gross Stage-3 loans closing balance net of provisioning expressed as a percentage of net loans as on March 31, 2025; gross Stage-3 loan ratio: gross Stage-3 loan balance as a percentage of

loans as on March 31, 2025 (only for upper layer NBFCs).

Productivity and efficiency:

Cost-to-income ratio: Operating expenditure as a percentage of operating income; cost-to-average asset ratio: operating expenditure as a percentage of average total assets (i.e. average of closing balance of FY24 and FY25); absolute increase in ROA: YoY basis points increase in ROA; and YoY percentage increase in ratio of operating profit to total income.

Quality of earnings: ROA:

Ratio of net profit to average total assets; ROCE: reported net profit divided by average net worth; NIM: total interest income minus total interest expenses as a percentage of average interest earning assets; penalties imposed by RBI and other regulatory authorities during the